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4.2.R1 (1/1 point)

Using the model on page 8 of the notes, what value of Balance will give a predicted Default rate of 50%?

Enter the value of Balance below:

Answer: 1936.6

EXPLANATION

We know that $\text{logit}(.5) = \beta_0 + \beta_1 * \text{Balance}$. Thus, $\text{Balance} = (\text{logit}(.5) - \beta_0) / \beta_1 = (\log(.5/(1-.5)) + 10.6513) / .0055 = 1936.6$

[Hide Answer](#)

You have used 1 of 5 submissions

